

Human Compass MSO

COMP 04	
Fraud Waste and Abuse Program	
Lines of Business: ALL (MEDICARE, MEDI-CAL, COMMERCIAL)	
Original Effective Date: 01.01.2026	Written By: Linette Hughes
Date of Last Revision:	Revised By:
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Date of Last Approval: 08.27.2025	Approved By: Board of Directors

I. Scope

This policy applies to all Human Compass MSO Employees, Providers, First Tier Entities, Downstream Entities, and Human Compass MSO Sub-Contractors.

1. First Tier Entities: Any party that enters a written arrangement with an organization or contract applicant to provide administrative or health care services for an eligible individual.
2. Downstream Entities: Any party that enters an acceptable written arrangement below the level of the arrangement between an organization (and contract applicant) and a First Tier Entity. These written arrangements continue down to the level of the ultimate provider of health and/or administrative services.
3. Human Compass MSO Sub-Contractors: Includes all contracted providers and suppliers, first tier entities, downstream entities and any other entities involved in the delivery of payment for or monitoring of benefits.

II. Policy

1. Human Compass MSO believes that Compliance with fraud prevention and reporting is everyone's responsibility.
2. Human Compass MSO developed a Fraud, Waste and Abuse (FWA) Program to comply with the Centers for Medicare and Medicaid Services (CMS) Medicare Advantage requirements in preventing and detecting fraud in federal and state funded programs.
3. The objective of Human Compass MSO's FWA is to identify and reduce costs caused by fraudulent activities and to protect consumers, Members, health care providers and others in the delivery of health care services.
4. Providers, First Tier Entities, Downstream Entities, and Human Compass MSO Sub-Contractors are educated regarding the federal and state false claims statutes and the role of such laws in preventing and detecting fraud, waste and abuse in federal health care programs.
5. Human Compass MSO has created a Compliance Committee (CC) to oversee its FWA and to manage all instances of suspected fraud.
6. All activities of the CC are confidential to the extent permitted by law.
7. Human Compass MSO reports its fraud prevention activities and suspected fraud to regulatory and law enforcement agencies as required by law.

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8. Providers, First Tier Entities, Downstream Entities, and Human Compass MSO Sub-Contractors must adhere to Federal and California State laws, including but not limited to False Claims laws.
9. Providers, First Tier Entities, Downstream Entities, and Human Compass MSO Sub-Contractors with Human Compass MSO will comply with Federal and California State laws in regard to the detection, reporting, and investigation of suspected fraud and abuse.

III. Definitions

1. A complaint of fraud, waste and/or abuse is a statement, oral or written, alleging that a practitioner, supplier, or beneficiary received a benefit to which they are not otherwise entitled. Included are allegations of misrepresentations and violations of Medicare, Medicaid or other health care program requirements applicable to persons applying for covered services, as well as the lack thereof of such covered services.
2. Fraud and abuse differ in that:
 - a. Abuse applies to practices that are inconsistent with sound fiscal, business, medical or recipient practices and result in an unnecessary cost to a health care program, or in reimbursement for services that are not medically necessary or that fail to meet professionally recognized standards for health care. Mistakes that are repeated after discovery or represent an on-going pattern could constitute abuse.
 - b. Fraud is an intentional or knowing misrepresentation made by a person with the knowledge (or knowingly) that the deception could result in some unauthorized benefit to him/herself or another person. It includes any portion that constitutes fraud under applicable federal or state law. Mistakes that are not committed knowingly or that are a result of negligence are not fraud but could constitute abuse.
3. Waste: Overutilization: The extravagant careless or needless expenditure of healthcare benefits / services.

IV. References

1. Code of Federal Regulations, Title 42, Part 422 and 423
2. Code of Federal Regulations, Title 42, §438.608 and §455.2
3. Federal False Claims Act, US Code, Title 31
4. Health & Safety Code §1348
5. Welfare & Institutions Code, §14043.1
6. CMS 2007 MA-PDP Contract H5640, Attachment A

V. Procedure

1. Human Compass MSO's FWA Program is designed to deter, identify, investigate and resolve potentially fraudulent activities that may occur in Human Compass MSO daily operations, both internally and externally.
2. Compliance Officer Responsibilities: The Chief Compliance Officer is responsible for ensuring that the objectives of Human Compass MSO's Fraud, Waste and Abuse Program are carried out, and for preventing, detecting, and investigating fraud-related issues in a timely manner. To accomplish this, the Chief Compliance Officer

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designates and oversees the Compliance Department to perform the following responsibilities:

- a. Developing fraud training programs to educate staff, Providers, practitioners, Members, First Tier Entities, Downstream Entities, and Human Compass MSO Sub-Contractors on prevention, deterrence and detection of fraud, waste and abuse.
 - b. Identifying, detecting, thoroughly investigating, managing, and resolving all suspected instances of fraud, waste, and abuse internally and externally.
 - c. Cooperating with, reporting, and referring suspected fraud, waste and abuse to the appropriate governmental and law enforcement agencies, as applicable, including exchange of information as appropriate.
 - d. Maintain a log of reported incidences of potential Fraud, Waste and Abuse and report on these incidences to the Board of Directors as part of periodic reporting, and Health Plan within 48 hours of the incident reporting or detection.
3. Human Compass MSO and all providers have responsibilities for fraud prevention, detection, and investigating potential FWA incidents.
4. Human Compass MSO responsibilities include, but are not limited to the following:
 - a. Training Human Compass MSO staff, Providers, practitioners, First Tier Entities, Downstream Entities, and Human Compass MSO Sub-Contractors on fraud; Human Compass MSO Fraud, Waste and Abuse Program, and fraud prevention activities within the first ninety (90) days of initial employment and at least annually thereafter.
 - b. Continuous monitoring and oversight, both internally and externally, of daily operational activities to detect and/or deter fraudulent behavior. Such activities include, but are not limited to:
 1. Monitoring of Member grievances
 2. Monitoring of Provider and physician grievances
 3. Claims Audits and monitoring activities, including audits of the P4P Program and other direct reimbursement programs to physicians
 4. Review of Providers' financial statements
 5. Medical management audits
 6. Utilization Management monitoring activities
 7. Quality Management monitoring activities
 8. Case Management Oversight activities
 9. Pharmacy Audits
 10. Encounter Data Reporting Edits
 11. Chart Audits
 - c. Investigating and resolving all reported and/or detected suspected instances of fraud and taking action against confirmed suspected fraud, waste, and abuse including but not limited to reporting to law enforcement agencies, termination of the Human Compass MSO contract (if a Provider, direct contracting practitioner, First Tier Entities, Downstream Entities, and

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- Human Compass MSO Sub-Contractors), and/or removal of a participating practitioner from the Human Compass MSO network.
- d. Human Compass reports suspected fraud to the following entities, as deemed appropriate and required by law:
 - 1. The Centers for Medicare and Medicaid Services (CMS) through the Medicare Drug Integrity Contractor (MEDIC).
 - 2. The State and/or Federal Offices of the Inspector General (Medicaid/Medicare Fraud)
 - 3. California Department of Health Care Services (DHCS). Local law enforcement agencies
 - 4. IPA contracted Health Plans immediately but within forty-eight (48 hours)
 - e. Submitting periodic reports to CMS as required by law.
 - f. Encouraging and supporting Provider activities related to fraud prevention and detection.
 - g. Human Compass MSO is responsible for maintaining records for a period of ten (10) years for attendance, topic, certificates of completion (if applicable), and test scores of any tests administered to their employees and must require FDRs to maintain records of the training of the FDRs employees.
5. The Providers, First Tier Entities, Downstream Entities, and Human Compass MSO Sub-Contractors' responsibilities for fraud prevention and detection include, but are not limited to, the following:
- a. Training staff and Providers on Human Compass MSO's Fraud, Waste, and Abuse program and prevention activities and false claims laws upon initial employment and at least annually thereafter.
 - b. Verifying and documenting the presence/absence of office staff and contracted individuals and/or entities by accessing the LEIE, GSA and California Medi-Cal exclusion list sites prior to hire/contracting and monthly thereafter: Terminating the Human Compass MSO network participation of individuals and entities who appear on the Office of Inspector General (OIG) List of Excluded Individuals and Entities (LEIE), the General Services Administration Excluded Parties List (GSA); and/or the California Medi-Cal exclusion list.
 - c. Developing a FWA Program, implementing fraud, waste and abuse prevention activities and communicating such program and activities to staff, Human Compass MSO Sub-Contractors and Human Compass MSO Sub-Contractors.
 - d. Communicating awareness, including:
 - 1. Identification of fraud, waste and abuse schemes.
 - 2. Detection methods and monitoring activities to contracted and subcontracted entities and Human Compass MSO.
 - e. Notifying Human Compass MSO of suspected fraudulent behavior and asking for assistance in completing investigations.

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- f. Taking action against suspected or confirmed fraud, waste and abuse including referring such instances to MEDIC, DHCS and /or law enforcement and reporting activity to Human Compass MSO.
 - g. Policing and/or monitoring own activities and operations to detect and/or deter or prevent fraudulent behavior.
 - h. Cooperating with Human Compass MSO in fraud, waste and abuse detection and awareness activities, including monitoring, reporting, etc., as well as cooperating with Human Compass MSO in fraud, waste and abuse investigations to the extent permitted by law.
 - i. Return of identified overpayments of state and/or federal claims within federal timelines.
- 6. Receiving, recording, responding and tracking reported concerns regarding Fraud, Waste, and Abuse False Alarms
 - a. Human Compass MSO takes issues regarding false claims and fraud, waste, and abuse seriously. Human Compass MSO providers, and their Human Compass MSO Sub-Contractors or agents of Human Compass MSO's providers are to be aware of the laws regarding fraud, waste and abuse and false claims and to identify and resolve any issues immediately. Affiliated providers' employees, managers, and Human Compass MSO Sub-Contractors are to report concerns to their immediate supervisor when appropriate.
 - b. The Human Compass MSO Compliance Officer must be notified of all unauthorized breaches within the regulatory timeline requirements.
 - c. Human Compass MSO HIPAA FWA Breach Compliance Incident Notifications and Reports may be submitted anonymously 24 hours a day via the following methods:
 - 1. Human Compass MSO website: www.humancompassmso.com
 - 2. Human Compass MSO compliance email: compliance@humancompassmso.com
 - 3. Human Compass MSO anonymous compliance hotline: [phone number to be identified]
 - 4. Human Compass MSO mailing address: info@humancompassmso.com which is directed to the Compliance Officer
 - 5. Human Compass Chief Compliance Officer directly: Thao Tran ; email thao.tran@humancompassmso.com
 - d. The Suspected HIPAA, Fraud Waste and Abuse, or other Noncompliance Report Form is to be completed
 - e. The following information is needed in order for Human Compass MSO to investigate suspected fraud, waste and/or abuse:
 - 1. Your name. Although you may choose to report anonymously, it is very helpful for the Human Compass MSO Compliance Department to hear the allegations directly from you. If you choose to give your

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- name, please provide a contact number and a date and time for a return call at a time and place confidential for you.
2. The name(s) of the party/parties/departments involved in the suspected fraud.
 3. Where the suspected fraud may have occurred.
 4. Details on the suspected criminal activity.
 5. When the suspected fraud took place, for example over what period of time.
 6. A description of any documentation in your possession that may support the allegation of fraud, waste and/or abuse.
- f. Human Compass MSO will initiate an investigation as quickly as possible, but not later than two (2) weeks after the potential noncompliance or FWA was identified.
 - g. Human Compass MSO will conclude investigations of FWA within a reasonable time after the activity was discovered.
 - h. Information reported to the Human Compass MSO Fraud Prevention Program will remain confidential to the extent possible by law.
 - i. Human Compass MSO expressly prohibits retaliation against those who, in good faith, report potential fraud, waste and abuse to the Fraud, Waste, and Abuse Program. Information of Whistleblower Protections and the False Claims Act is included in the annual Compliance Training Program available to Providers, First Tier Entities, Downstream Entities, and Human Compass MSO Sub-Contractors.
 - j. Employees, Vendors and Human Compass MSO Sub-Contractors who do not report issues regarding non-compliance with regards to FWA issues on a timely basis are subject to disciplinary action appropriate to the seriousness of the violation.
 - k. Non-Compliance or Fraud, Waste, & Abuse found to be committed by employees or Human Compass MSO Subcontractors must be documented. Employees, Vendors and Human Compass MSO Sub-Contractors who are found to be in non-compliance must implement required corrective actions. Failure to implement corrective actions on a timely basis will result in disciplinary action appropriate to the seriousness of the violation. These disciplinary actions include the following options:
 1. Verbal warning
 2. Suspension without pay
 3. Termination
 4. Other remedies as identified in the Employee Handbook

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Record of Changes

Version Number	Date	Revised Section	Revised/Reviewed By	Description of Change
V1	01.01.2026	All		P&P Creation
V1	08.27.2025		Board of Directors	Review and approve original policy
V1	09.23.2026		Linette Hughes	Annual review